

back to its original asset allocation target, thereby remaining prudently diversified. It is accomplished by selling a portion of the investment that is over its target allocation and buying more of the investment that is under its target allocation. For example, assume that your target allocation is 50 percent in stocks and 50 percent in bonds. Assume that after one year, the markets have moved the portfolio to 60 percent in stocks and 40 percent in bonds. Simply selling the extra 10 percent in stocks and buying 10 percent in bonds gets the portfolio back to its original asset allocation target of 50 percent stocks and 50 percent bonds. Rebalancing can also be done when new money is added to or withdrawn from an account and when dividends and interest are paid.

Rebalancing hinges on a theory called *regression to the mean*. That is, there is a natural tendency in the marketplace for all broad asset classes to return close to their historic risk profiles. This theory is highly controversial, and there are many naysayers. However, it is my observation that regression to the mean does appear to happen in the marketplace, and this helps the case for rebalancing.

Simply stated, regression to the mean assumes that all investments have a specific risk and return profile that they eventually follow. Stocks have higher risk than bonds, and as such, stocks are expected to generate higher returns than bonds eventually. When bond returns are higher than stock returns for an extended period, stock returns do tend make up the discrepancy and then some over the long term.

We do not know when these regressions will take place because the marketplace can become overly optimistic and overly pessimistic. In fact, some people say that the markets can become irrational. I do not want to make a judgment on market valuation. All rebalancing does is forces the sale of a small portion of the asset class that has gone up in value and forces a small extra purchase in the asset class that did not perform as well. This means selling some of the winners and buying more of the losers, whatever they are. Rebalancing may feel counterintuitive at first. However, the process basically follows the logic that it is better to sell high and buy low than the other way around.

Rebalancing is an essential component of all the asset allocation examples provided in this book. Assume that the portfolios in these chapters are rebalanced annually at the beginning of each year. This may not be the ideal rebalancing strategy, but then, there is no ideal rebalancing